

Hy-Tech Engineers Limited — IPO Research Report

Sector: Industrials / Fluid Power Components (Hydraulic Fittings)

Document analysed: Draft Red Herring Prospectus dated 4 September 2025 (430 pages), supplemented with RHP data now in the public domain

Report date: 27 August 2026

Status: ISSUE CLOSES TODAY. Book open 24–27 Aug 2026 · Price band ₹50–53 · Lot 283 shares (₹14,999) · Allotment 28 Aug · Listing 1 Sep 2026 (NSE + BSE)

Issue size	₹135.73 cr (Fresh ₹60 cr / ~1.13 cr sh + OFS ₹75.73 cr / ~1.43 cr sh)
Post-issue market cap @ ₹53	₹503 cr
FY26 revenue / PAT	₹1,894 mn / ₹225.9 mn
Valuation @ ₹53	22.3x FY26 P/E · 12.2x EV/EBITDA · 2.8x P/B
Grey market (27 Aug)	GMP ₹44 -> implied listing ~₹97 (38.5x FY26, 20.9x EV/EBITDA)
Book (final day, ~10:00)	NII ~95x · Retail ~70x · QIB ex-anchor ~0.84x
Promoters	Hemant T. Mondkar, Surekha H. Mondkar, Ashwin H. Mondkar (97.99% pre-issue)
BRLM / Auditor	New Berry Capitals (sole) / G. M. Kapadia & Co.

Contents

1. Investment view	1
2. The business in one page	2
3. Industry structure	3
4. Financial statement analysis	4
5. Revenue quality	6
6. Product mix analysis	7
7. Customer analysis	8
8. Capacity utilisation	10
9. Capacity expansion plan	11
10. Bottleneck process analysis	12
11. Operating leverage and margin analysis	13
12. Working capital, cash flow and return ratios	15
13. Disclosure quality — six specific findings	17
14. Valuation	18
15. Risk register	19
16. What I would ask management	20
17. Verdict	20
18. Basis of preparation and limitations	21

1. Investment view

On the fundamentals at the issue price, this is a reasonably priced, genuinely profitable small-cap engineering business. On the grey-market price it is not.

The two-part conclusion matters because these are two different decisions:

(a) Subscribing at ₹50–53 — defensible. You are buying a 48-year-old, ISO/IATF-certified, backward-integrated precision machining business at 22.3x trailing earnings and 12.2x EV/EBITDA, with a 22% EBITDA margin, 21% ROE, 0.25x net debt/equity, 96% of revenue from repeat customers, and a funded plan to add ~60% to capacity. That is a below-market multiple for those characteristics. The asymmetry is favourable *at this price*.

(b) Buying on listing near the GMP-implied ~₹97 — not defensible. At ₹97 the stock trades at 38.5x FY26 and 20.9x

EV/EBITDA. My capacity-based fair value ladder (Section 12) puts full, successful execution of the entire expansion — 70–75% utilisation on a 771-lakh-piece base, i.e. revenue of ₹3.0–3.2 bn, roughly **+60–70% from FY26** — at ₹83–89/share on 12x EV/EBITDA. In other words, **₹97 already discounts more than a complete, on-time, on-budget execution of a project that has not yet started**. There is no margin of safety left for the structural issues below.

The three things that decide this investment

- 1. Roughly 23–27% of revenue is intermediated by a promoter-owned company that minority shareholders will not own.** Hy-Tech USA Inc. is a Promoter Group entity and the exclusive distributor for North America, Canada and Brazil. Direct sales to it *plus* customers it sources equal **100.0% of the Company's US revenue in each of FY23, FY24 and FY25** (₹368.69 mn / ₹338.25 mn / ₹356.14 mn). All of the Company's sales commission (₹17.05 mn in FY25) is paid to it. This is a permanent related-party dependency sitting on the single largest export market, and it is the most important non-financial fact in the document.
- 2. EBIT was flat for two years while invested capital rose 50%.** FY23 EBIT ₹252.04 mn → FY25 EBIT ₹256.81 mn (+1.9%) on revenue +21.0%. Over the same period operating invested capital went from ₹810 mn to ₹1,221 mn (+50.7%) and ROIC fell from 23.2% to 15.8%. FY25's optical 69% PAT growth is a recovery off a depressed FY24, not a new level. The bull case rests entirely on this pattern *not* repeating with the new capex.
- 3. The document has real internal inconsistencies.** Five are material enough to name (Section 13), including an industry-report EBITDA table that double-deducts other income, a customer-concentration claim that compares top-5 against top-10, and a Weighted Average Cost of Acquisition that appears not to be adjusted for the 1:2 sub-division and ~112:1 bonus issue — overstating WACA by ~16% and thereby flattering the pricing optics. None of these change the audited numbers. All of them are a read on disclosure discipline in a first-time issuer with a sole, small BRLM.

Positioning

Investor	View
IPO applicant (retail / HNI)	Subscribe at ₹53 for listing gains. Note: at ~70x retail subscription the one-lot allotment probability is ~1.4%.
Listing-day buyer	Avoid above ~₹75. At ₹97, three years of flawless execution are pre-paid.
3-year fundamental investor	Accumulate on weakness below ~₹70. Re-underwrite after two things: (i) two quarters of post-expansion utilisation data, (ii) a clear disclosure of OEM-versus-distributor mix within direct sales.
Risk-averse / income	Avoid. Cyclical end-markets, no dividend visibility, promoter-controlled offshore channel.

Key monitorables: quarterly utilisation at Shirwal / Kavathe / Pithampur-I · job-work charges as % of revenue (the bottleneck tell) · any change in the Hy-Tech USA distribution agreement or commission rate · receivable days · Pollution Control Board *Consent to Operate* for the new plating plant (not yet applied for as at the DRHP date).

2. The business in one page

Hy-Tech Engineers (incorporated 1978, Thane) manufactures **hydraulic fittings** — the connectors that join pipes, tubes and hoses inside high-pressure hydraulic circuits. These are low-ticket, high-criticality, high-SKU-count precision machined parts: a leak in a fitting takes down the whole machine, so once a fitting is designed into an OEM's platform it is rarely re-tendered on price alone.

Portfolio: >10,000 SKUs at FY25 (>11,000 per RHP) across four standard families — DIN metric, JIC flared/flareless, O-Ring Face Seal (ORFS), and conversion fittings — plus customised fittings. New SKU additions: 1,538 (FY23), 2,206 (FY24), 1,676 (FY25).

Six plants, four in Maharashtra and two in Madhya Pradesh, 32,887 sq m:

Unit	Capability	Installed capacity (31-Mar-25)
Thane, MH	Hydraulic fittings	35.00 lakh pc p.a.
Shirwal (Satara), MH	Hydraulic fittings	144.00 lakh pc p.a.
Kavathe (Satara), MH	Hydraulic fittings	180.00 lakh pc p.a.
Pithampur-I, MP	Hydraulic fittings	48.00 lakh pc p.a.

Unit	Capability	Installed capacity (31-Mar-25)
Pithampur-II, MP	Hydraulic fittings	48.00 lakh pc p.a.
Nashik, MH	Forged metal parts (mostly captive)	3,120 MTPA

Total 455 lakh pieces p.a. + 3,120 MTPA forging at FY25; 483 lakh pieces at FY26.

Vertical integration is the real structural asset: Nashik forging feeds the machining units captively, and the IPO adds a dedicated plating plant. Forging -> machining -> plating -> testing in-house is unusual at this revenue scale and is what supports a 65% gross margin.

Certifications: ISO 9001 (Shirwal, Nashik, Thane, Kavathe); ISO 14001 + ISO 45001 (Shirwal); **IATF 16949** (Shirwal, Pithampur-I, Pithampur-II) — the automotive qualification, and a genuine barrier to entry against the unorganised segment.

People: 425 permanent + 260 contract (38% contract) at FY25. Sales & marketing: 13 people. **Business is B2B, purchase-order based, with no long-term contracts.**

3. Industry structure

The market

- Indian hydraulic fittings market: **7.7% CAGR CY19-CY24**, projected **10.4% CAGR CY24-CY30** (CARE Edge / Maia Research).
- Global: USA 6.0% -> 8.2%; Europe 6.3% -> 8.6%; Asia 6.9% -> 9.3%; Middle East 7.0% -> 10.2%.
- **Disclosure limitation:** every absolute market-size chart in the Industry Overview (pages 142-153) is embedded as a raster image with no extractable text. I can confirm the growth rates but **cannot verify the Company's absolute market share** from the document. Treat any "% market share" claim from other sources as unsourced.

Structure: fragmented, and that is the whole thesis

Per the CARE Report, the Indian industry is **dominated by SMEs with only a few large players, and more than 90% of the industry is unorganised**, with high competitive intensity.

This cuts two ways, and the direction depends entirely on the customer:

- **Where it helps:** an unorganised workshop cannot hold IATF 16949, cannot run 10,000+ SKUs, cannot serve an export customer's PPAP requirements, and cannot absorb a forging-to-plating integrated cost structure. In the OEM and export channel, Hy-Tech is not competing with the 90% — it is competing with a handful of organised peers. This is why gross margin is 65% and not 25%.
- **Where it hurts:** in the domestic distributor/replacement channel, the unorganised 90% sets the price. And the FY26 growth is coming disproportionately from domestic (Section 6), which is the more price-exposed channel.

Five Forces (my assessment):

Force	Intensity	Reasoning
Rivalry	High	>90% unorganised, low differentiation in standard SKUs. Mitigated only in qualified OEM/export work.
Buyer power	High	No long-term contracts anywhere. Top-10 = 42% of revenue. Purchase-order basis, terms revisable at will.
Supplier power	Low-Moderate	Steel is a liquid commodity; top-5 supplier share cut from 55.3% to 38.5%. But no purchase agreements, so no price protection either.
Substitution	Low	Hydraulics is designed-in. Long-term electrification of off-highway equipment is a 10-year-plus risk, not a 3-year one.
New entrants	Moderate	Trivial at workshop level; hard at IATF/export level. ₹300 mn buys meaningful capacity — this is not a capital-intensive moat.

Trade flows

India's fittings exports (HSN 73079990): top-5 countries = 67%, **USA alone 40%**. Imports: top-5 = 68%, **China 25%**. So the sector's export engine is heavily US-levered and its import competition is heavily China-levered — precisely the two axes most exposed to the 2025-26 tariff realignment. As of early 2026 the US reciprocal tariff on India was reduced from 25% to 18% and subsequently to a blanket 10% temporary levy, while **Section 232 metals tariffs of ~50% on**

steel/aluminium and ~25% on many downstream metal products remain in force, and there is a standing **countervailing duty order on forged steel fittings from India** (sunset review concluded April 2026). Sources: [US Embassy India trade fact sheet](#), [Indian Express on the 10% levy](#), [Economic Times on Section 232](#), [Federal Register CVD sunset review](#). *Content rephrased for compliance with licensing restrictions.* **Investors must confirm the tariff line applicable to the Company's specific HS codes — the DRHP predates all of this and does not address it.**

Peer set — the DRHP's comparables are weak

Company	FY25 revenue (₹mn)	EBITDA margin	ROE	D/E	P/E*
Hy-Tech Engineers	1,613.82	22.18%	21.39%	42.99%	[*]
Aeroflex Industries	3,762.28	21.01%	16.53%	0.17%	41.98x
Yuken India	4,573.56	12.00%	8.47%	29.43%	54.09x
Dynamatic Technologies	14,038.00	11.28%	6.21%	62.86%	101.43x

* as of 29 Aug 2025 — **now ~12 months stale**. Do not anchor on the 65.83x "peer average."

Hy-Tech has the **best EBITDA margin and the best ROE of the four**, which is the strongest single quantitative argument for the issue. But: Dynamatic is an aerospace Tier-1 (Airbus/Boeing) and Yuken makes pumps and valves — neither is a fittings comparable. Only **Aeroflex** (stainless flexible hose) is genuinely adjacent, and it carries almost no debt against Hy-Tech's 0.43x. The unlisted true comparables disclosed in the CARE report are more instructive: **Mercury Fittings** (FY24 revenue ₹517 mn, 13.3% EBITDA margin, 2.45x current ratio, 92-day WC cycle) and **Micron Specma** (FY24 ₹457 mn, 6.9% margin). Against genuine fittings peers, **Hy-Tech's 22% EBITDA margin is materially superior** — that is real, and it is the fact the bull case should rest on.

4. Financial statement analysis

All figures ₹ million, restated consolidated (Ind AS), audited by G. M. Kapadia & Co. **No auditor qualifications, adverse remarks, or reported frauds since incorporation.** I have re-added every statement — the balance sheet ties (FY25: ₹738.83 + ₹967.64 = ₹1,706.47 = ₹1,012.51 + ₹255.54 + ₹438.42).

4.1 Profit & Loss with full margin ladder

	FY23	FY24	FY25
Revenue from operations	1,333.36	1,377.08	1,613.82
y-o-y growth	—	+3.3%	+17.2%
Materials cost (RM consumed + inventory change)	464.58	497.09	558.02
Gross profit (post-materials)	868.78	879.99	1,055.80
Gross margin	65.2%	63.9%	65.4%
Manufacturing expenses	305.02	343.27	385.35
Contribution after materials + conversion	563.76	536.72	670.45
margin	42.3%	39.0%	41.5%
Employee benefit expenses	164.87	192.43	203.23
Other expenses	85.62	118.78	109.36
EBITDA (excl. other income)	313.27	225.51	357.88
EBITDA margin	23.5%	16.4%	22.2%
Adjusted EBITDA (ex one-off charges)	313.27	245.54	360.36
Adj. EBITDA margin	23.5%	17.8%	22.3%
Depreciation & amortisation	61.23	73.39	101.07
EBIT	252.04	152.12	256.81
EBIT margin	18.9%	11.0%	15.9%
Finance cost	46.30	28.74	48.12
Other income	36.08	34.65	53.25

	FY23	FY24	FY25
PBT	241.82	158.03	261.94
Effective tax rate	25.6%	26.6%	25.1%
PAT (reported)	180.02	115.96	196.19
PAT margin (on revenue)	13.5%	8.4%	12.2%
PAT margin (on total income — Company's definition)	13.1%	8.2%	11.8%
Adjusted PAT (ex one-offs)	179.46	116.08	176.17
Adj. PAT margin	13.5%	8.4%	10.9%
EPS (₹, post bonus/split)	2.16	1.39	2.35

FY26 (from RHP): revenue ₹1,894.0 mn (+17.4%), total income ₹1,934.4 mn (+16.0%), **PAT ₹225.9 mn (+15.1%)**, PAT margin 11.93% vs 12.16%. Estimated EBITDA ~₹420 mn, margin ~22.2%. *This is triangulated, not read from an audited statement — see Section 14.*

4.2 The margin story is a V, not a trend

FY24 was the accident; FY25 was the recovery; neither is the run-rate. FY24 EBITDA margin collapsed 710 bps on just +3.3% revenue, from three simultaneous hits:

- materials cost rose to 36.1% of revenue from 34.8% — the Company attributes this to "higher procurement rates and variation in the product mix";
- employee cost +16.7% (₹27.56 mn) against +3.3% revenue — hiring ahead of the Kavathe ramp;
- other expenses +38.7%, of which ₹16.03 mn bad debts and ₹4.00 mn investment write-off.

FY25 reversed all three. But look at the level, not the direction: **FY25 EBITDA margin of 22.2% is still 130 bps below FY23's 23.5%, and FY25 EBIT margin of 15.9% is 300 bps below FY23's 18.9%.** The gap is depreciation: D&A went from 4.6% of revenue to 6.3%. That is the permanent cost of the capex already spent, and the IPO adds more.

4.3 Earnings quality — the FY25 PAT is ~10% lower than it looks

Other income of ₹53.25 mn is **20.3% of FY25 PBT**, and it is not operating income:

Other income component	FY23	FY24	FY25
Interest from banks and others	6.90	5.94	12.48
Gain on sale of property, plant & equipment	0.75	1.85	26.88
Foreign exchange gain (net)	21.22	6.10	9.92
Reversal of provisions (doubtful debts / impairment / advances)	—	15.12	2.33
Gain on sale of investment / FVTPL	—	3.78	—
Dividend + miscellaneous	0.47	1.86	1.64
Total	36.08	34.65	53.25

The **₹26.88 mn gain on asset disposal is 10.3% of PBT and 13.7% of PAT.** From the PPE note: gross disposals ₹31.44 mn less accumulated depreciation ₹17.36 mn = **net book value ₹14.08 mn, sold for ₹38.32 mn — 2.7x book.** The composition tells you why: ₹4.06 mn of the disposal was *leasehold land and building carrying zero accumulated depreciation*. This is a property gain, and it is not repeatable.

Normalising FY25 PAT to ₹176.17 mn cuts the growth rate from +69.2% to +51.7%, and the PAT margin from 12.2% to 10.9%. That is the number to underwrite.

Two further quality notes:

- **Export incentives** (duty drawback + RoDTEP) of ₹9.06 mn are 100%-margin government grants worth **2.5% of EBITDA**. Policy-dependent.
- **Scrap sales** of ₹51.09 mn are 3.2% of revenue and **8.6% of raw material consumed** — a high but stable ratio, consistent with bar-turning/machining-intensive production. It is genuine operating revenue, but it is a steel-price-linked, not a value-added, line.

4.4 Balance sheet

	FY23	FY24	FY25
Net fixed assets (incl. CWIP)	406.37	615.06	674.77
Inventories	232.62	210.19	267.12
Trade receivables (net)	425.53	368.63	457.21
Cash + all bank deposits	78.90	158.21	179.36
Total assets	1,239.38	1,462.38	1,706.47
Trade payables	214.30	133.49	165.97
Gross debt	212.06	408.38	435.25
Total equity (net worth)	713.03	822.16	1,012.51
NAV per share (₹)	8.54	9.84	12.12

The FY25 jump in equity share capital from ₹3.73 mn to ₹417.66 mn (with other equity falling ₹818.43 mn -> ₹594.85 mn) is the **bonus issue of 82,786,020 shares on 8 Feb 2025**, capitalising ~₹413.9 mn of reserves. Cosmetic, but see Section 13 for why it matters to the WACA disclosure.

Contingent liabilities are negligible — the disputed GST demand fell to nil by FY25 (₹1.51 mn FY24, ₹2.63 mn FY23). Capital commitments ₹6.71 mn. No off-balance-sheet arrangements. **This is a clean balance sheet on the liability side.**

Where the assets are odd: "Other current financial assets" jumped from ₹4.83 mn to **₹176.68 mn**, of which **₹158.10 mn is bank deposits with maturity over 12 months** reclassified as current, plus ₹15.27 mn claims receivable. Total bank deposits are ₹172.08 mn. Note 14.1 discloses that only **₹0.16 mn is lien-marked as margin money**. So the Company is holding ~₹172 mn of essentially unencumbered fixed deposits earning **7.7%** while paying **11.4%** on ₹435 mn of debt (term loans 7.14%–11.60%, cash credit 9.50%). That is a **~3.7 pp negative carry on ~₹162 mn average, ~₹6.0 mn of annual value leakage** — about 2.4% of PBT, burned for no disclosed reason.

It also flatters the liquidity optics: **the reported current ratio of 2.21x becomes 1.83x** once these parked deposits are excluded from current assets. The Company's "Current Ratio 2.21x" KPI and the ₹529 mn "working capital" figure both rest on this reclassification.

5. Revenue quality

	FY23	FY24	FY25
Sale of products	1,273.42	1,320.77	1,552.42
<i>as % of revenue</i>	<i>95.5%</i>	<i>95.9%</i>	<i>96.2%</i>
Sale of manufacturing scrap	50.67	45.09	51.09
Export incentives (govt. grants)	8.11	9.73	9.06
Labour / job-work charges	1.16	1.49	1.25
Total revenue from operations	1,333.36	1,377.08	1,613.82

Positives: 96% of revenue is product sales, 100% recognised **at a point in time** (no percentage-of-completion judgement, no unbilled revenue risk). Contract liabilities are trivial (₹0.24 mn). Contract price reconciles to recognised revenue with a single adjustment (export incentives). **There is very little accounting discretion in this revenue line** — a genuine strength.

Repeat business is the standout metric:

	FY23	FY24	FY25
Repeat customers (number)	77	102	128
Revenue from repeat customers	1,221.95	1,256.00	1,536.44
as % of revenue	91.6%	91.2%	95.2%

95.2% of revenue from repeat customers, and 128 of 152 direct customers repeating, is strong evidence of designed-in, sticky product positioning. **Caveat: this stickiness is behavioural, not contractual.** The DRHP is explicit — no long-term or exclusive arrangements with any customer, all business on purchase-order basis with no committed volumes.

Volume versus price — the crucial split

	FY23	FY24	FY25
Production (lakh pieces, fittings)	247.0	248.0	288.0
Realisation (₹/piece, product sales)	51.56	53.26	53.90
Volume growth	—	+0.4%	+16.1%
Realisation growth	—	+3.3%	+1.2%

This is the single most useful table I built, because it separates two completely different years:

- **FY24 growth was 100% price, 0% volume.** Volumes were flat; the +3.3% revenue came from realisation. And realisation gains did *not* hold margin — EBITDA margin fell 710 bps. That tells you the price increase was **cost pass-through, not pricing power**, and it was incomplete.
- **FY25 growth was 93% volume, 7% price.** +16.1% volume with +1.2% realisation. Margin recovered. This is the healthier mix and it is what operating leverage is supposed to look like.

Read-through: the business has **volume-driven operating leverage but weak standalone pricing power**. In a steel up-cycle it will lag on margin; in a volume up-cycle it will beat. Given >90% unorganised competition, that is exactly what you would expect, and it is a permanent characteristic — not a phase.

Geographic mix — exports were flat for three years, then broke out in FY26

	FY23	FY24	FY25	FY26
Exports	455.52	456.32	456.70	~556.3
as % of revenue	34.2%	33.1%	28.3%	29.4%
Domestic	877.84	920.76	1,157.12	~1,337.7
as % of revenue	65.8%	66.9%	71.7%	70.6%

Look at the export line: ₹455.52 -> ₹456.32 -> ₹456.70 mn. Flat to three significant figures for three consecutive years. Every rupee of the ₹280 mn revenue growth from FY23 to FY25 came from India. Export share fell 590 bps.

That is a genuinely important finding, and the DRHP never confronts it — it presents the export franchise as a strength ("exported to ten countries") without noting it stopped growing. FY25 country detail: USA ₹368.69 mn (22.85%), Belgium ₹72.32 mn (4.48%), Russia ₹9.59 mn, then a long tail of sub-₹5 mn markets (Brazil, Italy, Saudi Arabia, Hungary, Thailand, Germany, Hong Kong). **The "ten countries" are effectively two countries plus rounding.**

FY26 is the first year exports actually grew (+21.8% to ~₹556 mn, 11 countries). That is a meaningful positive and partly answers the objection — but it is one year, it comes against a US tariff backdrop the DRHP does not address, and I cannot see the country split from public sources.

Domestic zone mix (FY25): West 52.3% (Maharashtra/Gujarat/Rajasthan/Goa), Central 20.0%, South 16.1%, North 11.6%, East 0.03%. Heavily West-weighted; East is unaddressed. Manufacturing facilities in Maharashtra contributed 77.3% of revenue — a real single-state concentration risk.

6. Product mix analysis

This is the weakest disclosure in the document, and clients should know it.

The DRHP describes four product families (DIN metric, JIC flared/flareless, ORFS, conversion), two taxonomies (by connection type: compression / crimp / flange / push-to-connect / end / threaded; by function: tee / cross / elbow / sleeve / cap / adapter / coupling / plug / union / nipple / valve), and >10,000 SKUs. **It discloses revenue for none of them.**

There is no product-wise revenue table, no product-wise margin, no standard-versus-customised split in rupees.

What can be inferred:

Inference	Basis	Confidence
Standard catalogue fittings dominate	10,000+ SKUs, DIN/JIC/ORFS/NPT/BSP standards-based; distributor channel exists	High
Customisation is a growing but unquantified share	1,676 new SKUs in FY25; DRHP and CARE both flag customised fittings as the higher-margin growth vector	Moderate

Inference	Basis	Confidence
Mix is skewed to straight and forged fittings	Process flow describes two distinct routes — "straight fittings" via multi-spindle blanking + centreless grinding, "forged fittings" via hot forging + outsourced rough machining	Moderate
Forging output is largely internal	"Majority of the products forged at this Unit are utilized by us for captive consumption"	High
No single product family is a margin cliff	Blended gross margin held at 63.9–65.4% across three years despite mix shifts	Moderate

Why the gap matters commercially: in fittings, ORFS and customised high-pressure parts carry materially better margins than commodity adapters and nipples. Without the split, an investor **cannot tell whether the 22% EBITDA margin is a rich-mix outcome that could dilute as volume scales into commodity SKUs, or a structural process-efficiency outcome that will hold.** The entire post-expansion margin assumption in every model — including mine — is therefore unverifiable from the document.

Ask management directly: revenue and gross margin split by (i) standard vs customised, (ii) the four product families, (iii) forged vs bar-stock route.

End-market mix — and a contradiction

Industry segment	FY23	%	FY24	%	FY25	%
Construction machinery	291.78	21.9%	352.95	25.6%	378.77	23.5%
Farming	326.09	24.5%	248.31	18.0%	302.94	18.8%
Automotive	117.09	8.8%	149.95	10.9%	162.79	10.1%
Injection moulding machines	51.76	3.9%	56.29	4.1%	67.88	4.2%
Hydraulic systems	40.27	3.0%	59.86	4.3%	59.90	3.7%
Others (unidentified)	506.37	38.0%	509.73	37.0%	641.54	39.8%
Total	1,333.36		1,377.08		1,613.82	

Construction + farming + automotive = **52.3% of FY25 revenue** — all three are capex/monsoon/interest-rate cyclical, and they move together. There is no counter-cyclical segment in the portfolio.

The contradiction: the largest single "segment" is *Others* at 39.75%, footnoted as "*unidentified sectors since sold through distributors.*" **But distributor sales are only 11.40% of revenue (₹183.97 mn).** So ₹457.57 mn — **28.35% of total revenue** — is direct-customer revenue that the Company does not attribute to any end market.

End-market exposure is therefore disclosed for only 60.2% of revenue. Management's claim of "balanced sectoral exposure" cannot be verified, and neither can the true cyclicity of the book. This is my second-most-significant disclosure finding after the Hy-Tech USA channel.

7. Customer analysis

Concentration is genuinely improving

	FY23	FY24	FY25
Largest customer	12.29%	8.91%	7.82%
Top 5 (computed from disclosed table)	39.58%	32.43%	26.00%
Top 10 (disclosed)	53.56%	48.72%	42.02%
Direct customers (number)	126	144	152 → 170 (FY26)
Distributors / partners	4	5	6

An 1,154 bp reduction in top-10 concentration over two years, with the customer count up 35%, is real de-risking and deserves credit. No top-10 customer discontinued business in three years.

But the DRHP overstates it. Page 189 states that top-5 concentration "*declined from 53.56% in Fiscal 2023 to 26.00% in Fiscal 2025.*" **53.56% is the top-TEN figure.** The actual FY23 top-5, computed from the Company's own table on page 38, is **39.58%**. The improvement is 1,358 bps, not 2,756 bps. The 26.00% FY25 figure is correct.

Named top customers (FY25)

Customer	₹ mn	% of revenue	Note
Tompkins Industries Inc (USA)	126.18	7.82%	Largest; declining share (10.84% -> 8.91% -> 7.82%)
Customer No. 2 (undisclosed)	100.88	6.25%	Consent not received
Sisa Hydropneumatics (Belgium)	72.32	4.48%	= 100% of Belgium revenue; down from ₹104.75 mn (-31%)
Fittings Unlimited Inc (USA)	53.68	3.33%	Rising
Hy-Tech USA Inc.	49.10	3.04%	Promoter Group related party
Six others (four undisclosed)	376.00	23.30%	

Four of the top ten are undisclosed "for non-receipt of consent." Combined with the 28% of revenue in unattributed end-markets, **an investor cannot independently assess ~34% of the customer book.**

The Sisa decline is worth flagging: the #2 customer, and the entire Belgium franchise, **shrank 31% in FY25** while the Company reported 17% consolidated growth. That single account cost ~235 bps of growth.

OEM dependency — the disclosure does not support the narrative

The Company positions itself as an OEM supplier: "Our sales approach combines direct engagement with OEMs and other industrial customers"; "During Fiscal 2025, we have supplied to 152 direct customers including OEMs."

Channel	FY23	FY24	FY25
Direct — domestic	822.17 (61.7%)	846.22 (61.5%)	1,022.25 (63.3%)
Direct — overseas	379.23 (28.4%)	401.94 (29.2%)	407.60 (25.3%)
Direct total	1,201.40 (90.1%)	1,248.16 (90.6%)	1,429.85 (88.6%)
Distributors — domestic	55.67 (4.2%)	74.54 (5.4%)	134.87 (8.4%)
Distributors — overseas	76.29 (5.7%)	54.38 (4.0%)	49.10 (3.0%)
Distributor total	131.96 (9.9%)	128.92 (9.4%)	183.97 (11.4%)

Nowhere does the DRHP split OEM from non-OEM within the 88.6% "direct" bucket. "Direct customers including OEMs" is doing a lot of work: a direct customer can equally be a wholesaler, a reseller, a systems integrator, or a replacement-market trader. **Tompkins Industries and Fittings Unlimited — two of the named top-five — are US fittings distributors/wholesalers, not equipment OEMs.**

So the honest reading is:

- **True OEM dependency is unquantified and probably materially lower than the 88.6% "direct" figure implies.**
- The genuine OEM evidence is qualitative but credible: IATF 16949 at three plants, vendor-qualification processes described (quality audits, PPAP-style validation trials, performance reviews), the construction/farming/automotive segment disclosure, and the fact that the capex is for CNC precision machining and testing benches — investments only an OEM-qualified supplier needs.

Assessment: OEM qualification is a real asset (it is the moat against the unorganised 90%), but **OEM revenue concentration is a disclosure blank, and the "OEM supplier" framing is looser than the document proves.** Note also that distributor share is *rising* (9.9% -> 11.4%), with domestic distributor revenue up 142% over two years — growth is tilting toward the *less* OEM-like, more price-exposed channel.

The Hy-Tech USA Inc. channel — the most important finding in this report

Hy-Tech USA Inc. is a Promoter Group entity ("entities in which Key Managerial Personnel are able to exercise significant influence," Note 47.1). The Company has granted it an **exclusive distribution agreement** for all hydraulic fittings and related equipment for customers, including OEMs, in **North America, Canada and Brazil.**

	FY23	FY24	FY25
Direct sales to Hy-Tech USA	76.29	54.38	49.10
Revenue from customers sourced by Hy-Tech USA	279.85	283.77	319.59
Combined	356.14	338.15	368.69
Total USA revenue	356.14	338.25	368.69

	FY23	FY24	FY25
Combined as % of US revenue	100.0%	100.0%	100.0%
Combined as % of consolidated revenue	26.71%	24.56%	22.85%

Every rupee of US revenue in all three years runs through or is sourced by the promoter-owned entity. The exact arithmetic tie to total USA revenue in each year is not a coincidence — it confirms there is no independent US channel.

Related-party economics:

- **Commission expense to Hy-Tech USA: ₹17.05 mn (FY25), ₹14.07 mn (FY24), ₹14.50 mn (FY23).** Total "commission on sales" in other expenses is ₹17.05 / ₹14.07 / ₹15.47 mn — meaning **essentially 100% of the Company's sales commission is paid to the promoter entity.**
- Receivable from Hy-Tech USA: ₹20.86 mn; commission payable to it: ₹7.46 mn (FY25).
- Promoter loans of ₹40.00 mn (Hemant ₹25 mn, Surekha ₹15 mn) remain outstanding, unchanged across all three years, at ~10% interest (₹4.00 mn p.a.) and classified as >5-year maturity.

Why this is a first-order issue, not a footnote:

- 1. Value is split outside the listed entity.** Minority shareholders buy the manufacturer; the promoters separately own the US distribution margin. The commission rate is the visible transfer, but a distributor's economics are the *spread*, not the commission — and that spread is invisible to public shareholders.
- 2. It is structural and permanent,** not a legacy item being unwound. The exclusive agreement is presented as a strength; there is no stated intent to acquire or internalise it.
- 3. It is unhedged single-point risk on 23% of revenue.** The DRHP itself concedes that operational inefficiency, management change, or financial instability at Hy-Tech USA would hit sales — and the Company has no alternative US route.
- 4. It creates an incentive asymmetry** on where US pricing sits, especially under tariffs: who absorbs a US duty — the listed manufacturer or the promoter-owned distributor?

This is not a reason to avoid the issue at 22x. It is a reason to require a discount to peers rather than parity, and to refuse to pay 38x.

*(One more disclosure slip here: the DRHP states revenue from Hy-Tech-USA-sourced customers "increased at a CAGR of 14% from ₹279.85 million in Fiscal 2023 to ₹319.59 million." ₹279.85 -> ₹319.59 over two years is **+14.2% cumulative — a 6.9% CAGR**, not a 14% CAGR.)*

8. Capacity utilisation

Unit	Metric	FY23	FY24	FY25
Thane	Installed / Production (lakh pc)	35 / 25	35 / 27	35 / 28
	Utilisation	71.4%	77.1%	80.0%
Shirwal	Installed / Production	213 / 160	190 / 111	144 / 98
	Utilisation	75.1%	58.4%	68.1%
Kavathe	Installed / Production	NA	56 / 42	180 / 99
	Utilisation	NA	75.0%	55.0%
Pithampur-I	Installed / Production	48 / 43	48 / 44	48 / 33
	Utilisation	89.6%	91.7%	68.8%
Pithampur-II	Installed / Production	30 / 19	37 / 24	48 / 30
	Utilisation	63.3%	64.9%	62.5%
Nashik (forging)	Installed / Production (MTPA)	2,076 / 1,560	3,120 / 1,524	3,120 / 1,860
	Utilisation	75.1%	49.9%	59.6%

Capacity basis: 300 working days, 2 shifts of 8 hours (16 hrs/day). Certified by Nandkishor P. Kalekar, Independent Chartered Engineer.

Three findings management should be asked about

(1) The aggregate utilisation the Company reports does not reconcile to its own unit-level table.

	FY23	FY24	FY25
Sum of installed capacity, year-end (lakh pc)	326	366	455
Sum of actual production (lakh pc)	247	248	288
Utilisation on year-end capacity	75.8%	67.8%	63.3%
Utilisation as reported in KPI table	74.9%	73.4%	66.9%
Gap (pp)	-0.9	+5.7	+3.6
Implied denominator in Company figure	330	338	431

Production ties exactly (28.8 mn / 24.8 mn / 24.7 mn pieces). The **denominator does not**. The most likely explanation is a weighted-average capacity during the year rather than year-end capacity — legitimate in itself, given Kavathe's mid-year ramp. But **KPI note (o) defines it as "actual annual production divided by the installed annual capacity,"** which points to the year-end figure, and no averaging is disclosed. The effect is that **reported utilisation is 3.6 pp flattering in FY25 and 5.7 pp in FY24**. On a consistent year-end basis, utilisation has fallen for two straight years: 75.8% -> 67.8% -> 63.3%.

(2) Shirwal's capacity was cut by a third while Kavathe was built — and the IPO now rebuilds Shirwal. Shirwal installed capacity went **213 -> 190 -> 144** lakh pieces. Kavathe went **0 -> 56 -> 180**. Combined Shirwal+Kavathe: capacity 213 -> 246 -> 324, but production only 160 -> 153 -> 197. **Combined utilisation fell from 75.1% to 60.8%**. The Kavathe project has so far *diluted* asset productivity, not improved it. And the IPO proposes to add 120 lakh pieces back to Shirwal, taking it to 264 — above its FY23 level. **Ask: was Shirwal capacity relocated to Kavathe, retired, or reclassified? If relocated, is the ₹120 lakh-piece Shirwal addition genuinely incremental?**

(3) The forging back-integration is the least utilised asset. Nashik capacity was raised 50% (2,076 -> 3,120 MTPA) in FY24 and production *fell* to 1,524 MT. At 59.6% in FY25 there is substantial idle forging capacity, which is a strategic negative: the whole point of captive forging is to absorb overheads across volume. **No incremental forging capacity is proposed in the IPO** — sensible, and it means fittings volumes can grow ~68% before forging becomes binding.

Composite view: utilisation of **63.3% (FY25) improving to ~70% (FY26 est.)** is neither distressed nor tight. There is roughly 30% headroom in the *existing* asset base before any new machine is needed.

9. Capacity expansion plan

₹299.70 mn of the Net Proceeds (₹319.86 mn in the DRHP, trimmed in the RHP) funds plant and machinery at three units.

Unit	Existing (31-Mar-25)	Proposed addition	Enhanced	Increase
Shirwal	144.00	120.00	264.00	+83.3%
Kavathe	180.00	96.00	276.00	+53.3%
Pithampur-I	48.00	72.00	120.00	+150.0%
Total (3 units)	372.00	288.00	660.00	+77.4%
All units	455.00	288.00	743.00	+63.3%

(The DRHP prints Pithampur-I's increase as "150,00%" — a typo for 150.00%.)

Scale check: on the FY26 base of 483 lakh pieces the addition takes installed capacity to ~771 lakh (+59.6%).

What the money buys — and what it tells you

The equipment list is diagnostic. It is overwhelmingly **CNC turning and precision machining**:

- **Tsugami CNC lathes** — 20 units (₹48.64 mn), plus sliding-head A25 ×3 (₹16.63 mn) and A32 ×2 (₹18.17 mn)
- **LMW "Smarturn" CNC lathes** — 10 units at Kavathe (₹18.80 mn) + 10 at Shirwal (₹18.88 mn)
- **Centreless grinding** (Bhagwansons HCG-100), **thread rolling** (MTE MTR-15), shot-blasting
- **Testing:** Impulse Test Stand Bi1001 K-Evo (₹15.43 mn, Test Industry SRL Italy), computerised hydrostatic test bench, metallurgical equipment ×3
- **Infrastructure:** plating plant (Pithampur), vertical storage systems (Pithampur-I, Shirwal), solar plant (Pithampur-I),

QT evaporator system

- Contingency ₹15.23 mn. **No second-hand machinery.** No promoter/KMP interest in any vendor. Vendors are named with quotation references, and quotations are 90-day (200-day for the Italian item) — i.e. **all expired by now**, so actual costs will differ.

Deployment: ₹50.00 mn in FY26, ₹269.86 mn in FY27 (DRHP schedule). Approvals: *Consent to Establish* received; **Consent to Operate "Yet to apply."**

My assessment

Strengths: debottlenecking-led rather than greenfield (expanding three running units with existing licences); heavily weighted to the actual constraint (machining and testing); genuinely modest — ₹300 mn against a ₹1.9 bn revenue base and a ₹927 mn gross block; and ₹160 mn of simultaneous debt repayment cuts financial risk while operating risk rises.

Sequencing is sensible.

The core tension: the Company is adding **~60% to capacity while running its existing base at ~63–70%.**

Utilisation post-expansion at FY26 volume	~43.8%
Volume needed for 65% utilisation on 771 lakh	~501 lakh pieces (+48% vs FY26)
Implied revenue at 65%	~₹2,808 mn (+48% vs FY26)
Volume needed for 70%	~540 lakh pieces (+60% vs FY26)
Implied revenue at 70%	~₹3,024 mn (+60% vs FY26)

At the industry's projected 10.4% CAGR, ₹1.9 bn compounds to ₹2.8 bn in **roughly 4 years**. So this capex is a **3–5 year absorption story on market growth alone**, and requires above-market share gains to be faster. That is the honest timeline, and it does not match a 38x listing multiple.

Precedent is the concern. FY24–25 capex of ₹575.92 mn against cumulative D&A of ₹235.69 mn (**2.44x**) has so far delivered *flat EBIT* and ROIC down from 23.2% to 15.8%. Gross block turnover fell from **2.68x to 1.74x**. The Company is asking investors to fund the next round on the promise that this time absorption will be faster. **The FY26 utilisation improvement to ~70% is the first evidence in favour — it is encouraging, and it is one data point.**

Under-modelled cost: ₹299.70 mn of machinery at the Company's realised ~10.9% depreciation rate on gross block adds ~₹33 mn of annual D&A (~1.7% of FY26 revenue) before any incremental revenue. Offsetting this, ₹160 mn of debt repayment at ~10.5% saves ~₹17 mn of interest. Net drag ~₹16 mn pre-tax in the first full year.

10. Bottleneck process analysis

The disclosed process flow: **RM procurement & inspection -> hot forging (Nashik, captive) -> blanking on multi-spindle machines (straight fittings) / rough machining OUTSOURCED to subcontractors (forged fittings) -> centreless grinding -> thread rolling -> CNC machining -> crack testing -> plating -> assembly, packaging & dispatch.**

The Company follows a **cell-based manufacturing model** — small self-contained cells, some dedicated to specific customers or product categories. Good for mix flexibility and accountability; structurally *worse* for aggregate utilisation, because dedicating cells to customers strands capacity when any one customer's volume dips. **This partly explains why utilisation sits at 63–70% rather than 85%.**

The bottleneck is CNC machining — five independent pieces of evidence

1. Job-work charges are the smoking gun. The Company outsources rough machining because it cannot do it all in-house.

	FY23	FY24	FY25
Job work charges (₹mn)	93.36	110.01	126.51
% of manufacturing expenses	30.6%	32.1%	32.8%
% of revenue	7.00%	7.99%	7.84%

Job work is the **single largest manufacturing cost line**, grew **+35.5% versus revenue +21.0%**, and rose from 7.00% to 7.84% of revenue. The DRHP states plainly that this reflects "*partial outsourcing of machining activities to manage capacity and lead times.*" **Outsourcing intensity increasing faster than revenue is the definition of a binding internal**

constraint.

2. The capex is ~65% CNC machining. ~₹121 mn of the identifiable equipment list is CNC lathes and sliding-head machines. Management is spending where the constraint is.

3. Rising WIP inventory. WIP: ₹66.49 -> ₹71.90 -> ₹87.95 -> **₹98.58 mn.** WIP days 19.7 -> 23.3 -> 22.3. **WIP is now 36.9% of total inventory.** Accumulating WIP in front of a process step is the classic queueing signature of a capacity-constrained operation.

4. Contract labour at 20% of manufacturing cost. ₹58.17 -> ₹70.25 -> ₹77.03 mn, and 260 contract workers against 425 permanent (38%). Labour is being flexed around machine availability.

5. Vertical storage systems are being bought for Pithampur-I and Shirwal — a material-handling and WIP-staging constraint, consistent with points 3 and 4.

The secondary bottleneck is plating — and it carries regulatory risk

Plating sits **immediately before assembly and dispatch**, is inherently a batch process, is environmentally regulated, and is currently not present at every unit. The IPO establishes a **dedicated plating plant at Pithampur**.

This is the highest-risk item in the capex, for a specific reason: **the *Consent to Operate* from the Pollution Control Board is disclosed as "Yet to apply."** A plating line cannot legally run without it. Only *Consent to Establish* has been received. Electroplating consents are among the more contested categories (effluent, heavy metals). A delay here would idle the CNC investment behind it, because plated parts cannot ship. **This is a single-point regulatory dependency on the throughput of the whole expansion, and it is not flagged as a headline risk in the DRHP.**

Tertiary constraint — testing and validation: crack testing, impulse test stands, hydrostatic benches and metallurgical labs are being added at all three units. For an IATF 16949 supplier, testing throughput gates *qualification of new SKUs* (1,676 added in FY25), not just production. This is a growth-rate constraint rather than a volume constraint.

Bottleneck map

Rank	Process step	Evidence	IPO addresses?	Residual risk
1	CNC machining	Job work 7.8% of revenue and rising; WIP building; ~65% of capex	Yes — directly (~₹121 mn)	Commissioning + skilled-operator ramp
2	Plating	Batch process before dispatch; new dedicated plant	Yes — new plant	Risk: Consent to Operate not yet applied for
3	Testing / validation	Test benches, impulse stand, metallurgy at all 3 units	Yes	Low
4	WIP staging / material handling	WIP 36.9% of inventory; vertical storage being bought	Yes	Low
5	Forging (Nashik)	59.6% utilised — not a constraint	Not needed	None near-term
6	Skilled machinists	38% contract labour; 425 permanent	No — not addressed	Moderate — attrition/training on new CNC

Verdict: the diagnosis is right and the capex is aimed correctly. The measurable success test is simple and public — **job-work charges should fall as a percentage of revenue from FY28.** If they do not, the debottlenecking failed. This is the single best KPI to track post-listing, and it is disclosed in the notes to accounts every year.

11. Operating leverage and margin analysis

Cost structure decomposition (FY25)

	₹ mn	% of revenue
Materials (RM consumed + inventory change)	558.02	34.6%
Variable manufacturing (job work 126.51, power 60.85, contract labour 77.03, chemicals 31.06, packing 28.74, stores 34.03)	358.22	22.2%
Variable other (transport 18.17, commission 17.05, export expenses 6.23)	41.45	2.6%
Total variable cost	957.69	59.3%

	₹ mn	% of revenue
Contribution	656.13	40.7%
Fixed manufacturing (R&M, testing, measurement, factory)	27.13	
Employee benefits	203.23	
Fixed other expenses	67.91	
D&A	101.07	
Total fixed / semi-fixed	399.34	24.7%
EBIT (check: 656.13 - 399.34 = 256.79 vs reported 256.81)	256.81	15.9%

Contribution margin 40.7%. Operating break-even revenue ₹982 mn. Margin of safety 39.1% — revenue can fall 39% before EBIT turns negative. That is a comfortable cushion for a cyclical business and is the strongest downside-protection fact in this report.

Degree of operating leverage at the FY25 level = contribution / EBIT = 656.13 / 256.81 = 2.55x. Every 10% revenue move should swing EBIT ~25.5%.

Realised operating leverage — the number that should frame the whole investment

Period	Revenue change	EBIT change	Realised DOL
FY24 vs FY23	+3.28%	-39.64%	-12.09x
FY25 vs FY24	+17.19%	+68.82%	+4.00x
FY23 -> FY25	+21.03%	+1.89%	+0.09x

Read the last row again. **Over two years, revenue rose 21% and EBIT rose 1.9%.** Two years of growth, two capacity additions, ₹576 mn of capex — and operating profit is unchanged.

FY24 shows the danger: a 3.3% revenue increase destroyed 40% of EBIT, because with 24.7% of revenue in fixed cost and only ~41% contribution, *cost inflation not passed through* is devastating. FY25 shows the upside: +17% volume-led revenue delivered +69% EBIT. **The operating leverage is genuinely high in both directions, and the business has demonstrated both.**

FY26 gives the tie-breaker, and it is mixed: revenue +17.4% but PAT only +15.1%, with PAT margin slipping ~20 bps and EBITDA margin flat at ~22.2%. **So the second consecutive year of ~17% growth did *not* produce further margin expansion.** That argues the FY25 margin recovery was normalisation to a ~22% ceiling, not the start of an expansion trend — and it is a caution against models that extrapolate margins to 24–25% post-expansion.

Margin summary

Margin	FY23	FY24	FY25	FY26e	Comment
Gross (post-materials)	65.2%	63.9%	65.4%	n/a	Remarkably stable; strong value-add
Contribution (post-conversion)	42.3%	39.0%	41.5%	n/a	40–42% structural
EBITDA	23.5%	16.4%	22.2%	~22.2%	Best in disclosed peer set; ~22% looks like the ceiling
EBIT	18.9%	11.0%	15.9%	~16.2%	300 bps below FY23 — D&A is the gap
PBT	18.1%	11.5%	16.2%	~15.9%	
PAT (on revenue)	13.5%	8.4%	12.2%	11.9%	
Adjusted PAT (ex one-offs)	13.5%	8.4%	10.9%	n/a	The real FY25 number

The critical structural point: EBITDA margin recovered to near FY23 levels, but EBIT margin did not — and cannot, because depreciation rose from 4.6% to 6.3% of revenue. Adding ₹300 mn of machinery pushes D&A higher again. **For EBIT margin to reach FY23's 18.9%, the new capacity must be filled — capacity utilisation is not a side issue, it is the entire margin thesis.**

12. Working capital, cash flow and return ratios

12.1 Working capital

	FY23	FY24	FY25
Inventories	232.62	210.19	267.12
<i>days on revenue</i>	63.7	55.7	60.4
— raw material	85.14	55.45	78.63
— WIP	71.90	87.95	98.58
— finished goods (incl. in transit)	75.58	66.79	89.91
Trade receivables (net)	425.53	368.63	457.21
<i>days on revenue</i>	116.5	97.7	103.4
Trade payables	214.30	133.49	165.97
<i>days on RM purchases</i>	168.1	102.6	98.5
Core trade working capital (I + R - P)	443.85	445.33	558.36
as % of revenue	33.3%	32.3%	34.6%
Cash conversion cycle (days)	12.1	50.8	65.3

This is a working-capital-heavy business and it is getting heavier. Core trade WC rose to 34.6% of revenue; the cash conversion cycle **more than quintupled from 12 days to 65 days** in two years. (The Company's own CARE-sourced table shows a WC cycle of 125 -> 131 -> 143 days on a different definition; both point the same way.)

The driver is not receivables — it is payables. Receivable days actually *improved* from 116.5 to 103.4. But trade payables fell from ₹214.30 mn to ₹133.49 mn in FY24 (an ₹80.81 mn cash outflow, visible in the cash flow statement) and payable days collapsed from 168 to 99. **The Company de-stretched its creditors** — most visibly MSME dues, down from ₹49.18 mn to ₹21.42 mn (the 45-day MSMED payment rule). Good governance and lower supplier risk; **a permanent one-time cash cost and a structurally higher WC requirement going forward.**

Receivables quality is good and improving:

	FY23	FY24	FY25
Gross receivables >6 months	35.89	14.26	12.40
<i>as % of gross receivables</i>	8.1%	3.8%	2.6%
ECL provision	8.36	10.10	13.77
<i>as % of gross receivables</i>	1.9%	2.7%	2.9%

Ageing improved materially (64% of the book "not due"), while the ECL provision was *raised* to 2.9% — a conservative combination. Credit-impaired receivables fell from ₹11.41 mn to ₹0.35 mn. The FY24 ₹16.03 mn bad-debt write-off appears to have cleaned out a legacy problem. **Provisioning at 74% expected-credit-rate on >365-day balances is appropriately harsh.**

FX exposure is real and unhedged in substance: FY25 USD trade receivables of \$1.77 mn (₹150.73 mn) plus a USD FCNR term loan of \$0.77 mn (₹65.56 mn). A ₹100 mn forward-contract facility is sanctioned but **nil outstanding**. Net USD long ~₹85 mn — a 1% INR move is ~₹0.85 mn of P&L. Manageable, but the natural hedge is being run open.

12.2 Cash flow

	FY23	FY24	FY25
Operating profit before WC changes	351.62	269.90	386.94
CFO (post-tax)	310.13	186.77	170.16
CFO / EBITDA	99.0%	82.8%	47.5%
CFO / PAT	172.3%	161.1%	86.7%
Cash capex	135.42	286.39	154.11
Free cash flow	174.71	-99.62	16.05
Capex / D&A (x)	2.21	3.90	1.52

	FY23	FY24	FY25
Capex / revenue	10.2%	20.8%	9.5%
Net cash from financing	-254.49	+166.02	-34.97

The deterioration in cash conversion is the most under-appreciated number in this document. CFO/EBITDA fell from 99% to 47.5% in two years — despite EBITDA growing 14%, CFO *fell* 45%. The entire gap is working capital: FY25 absorbed ₹157.25 mn into WC (receivables -89.74, inventories -56.93, other financial assets -20.65, other assets -11.05, provisions -6.79, partly offset by payables +32.48).

Three-year cumulative: CFO ₹667.06 mn, capex ₹575.92 mn, FCF ₹91.14 mn against PAT of ₹492.17 mn — a 3-year FCF/PAT conversion of just 18.5%. Cumulative capex/D&A of 2.44x confirms this is a genuine growth-capex phase, not maintenance. But it means **the Company has generated very little distributable cash while reporting healthy profits**, and it is why an IPO is needed to fund the next expansion.

Cash capex reconciles (a check worth doing): FY25 gross additions ₹199.68 mn less CWIP release ₹24.82 mn less reduction in capital advances ₹18.12 mn ~ ₹156.74 mn versus ₹154.11 mn reported. *(Note the MD&A's ₹301.77 mn "capital expenditure (gross additions)" figure is inconsistent with its own table showing ₹197.73 mn — see Section 13.)*

Financing: cumulative three-year dividends of only ₹14.91 mn against ₹492 mn of PAT (~3% payout). FY25 declared nil (₹5.59 mn paid in FY25 was the FY24 final). **Assume no meaningful dividend.**

12.3 Return ratios

	FY23	FY24	FY25
ROE (PAT / average equity)	28.8%	15.1%	21.4%
RoNW (PAT / closing equity)	25.2%	14.1%	19.4%
ROCE (Company definition)	31.7%	15.2%	20.5%
ROCE excl. parked bank deposits	32.5%	17.0%	23.6%
ROIC (NOPAT / operating invested capital)	23.2%	10.7%	15.8%
Operating invested capital (₹mn)	810.11	1,040.45	1,220.71
Fixed asset turnover (revenue / NFA)	3.28x	2.24x	2.39x
Gross block turnover	2.68x	1.81x	1.74x
Total asset turnover	1.08x	0.94x	0.95x

ROIC is the honest lens, and it tells the real story: 23.2% -> 10.7% -> 15.8%. FY25's recovery leaves ROIC 740 bps below FY23, because invested capital grew 50.7% while EBIT grew 1.9%.

Gross block turnover falling from 2.68x to 1.74x (-35%) is the clearest single measure of deteriorating asset productivity. Either the new assets are not yet loaded (the benign reading, supported by the FY26 utilisation improvement to ~70%), or they are structurally less productive (the bearish reading). **The next two years resolve this, and it is the crux of the investment.**

At 15.8% ROIC against a ~11% cost of debt and a mid-teens cost of equity, **the Company is currently creating only marginal economic value.** It needs to get back toward 20%+ ROIC — which requires filling capacity — to justify a growth multiple.

12.4 Leverage — comfortable, and better than the headline

	FY23	FY24	FY25
Gross debt	212.06	408.38	435.25
Cash + all bank deposits	78.90	158.21	179.36
Net debt	133.16	250.17	255.89
Gross debt / equity	0.30x	0.50x	0.43x
Net debt / equity	0.19x	0.30x	0.25x
Net debt / EBITDA	0.43x	1.11x	0.72x
EBIT / finance cost	5.44x	5.29x	5.34x
Average cost of debt	—	9.3%	11.4%

Net debt/EBITDA of 0.72x and net D/E of 0.25x are comfortable. The headline 43% D/E overstates the risk. Post-IPO,

with ₹160 mn repaid, net debt drops to roughly **₹80 mn — essentially debt-free.**

Two observations:

- **Cost of debt rose to 11.4% while the Company held ₹172 mn in 7.7% deposits.** As noted, that is ~₹6 mn a year of avoidable leakage, and it is a capital-allocation question, not an accounting one.
- **Personal guarantees from Hemant and Surekha Mondkar secure ₹395.25 mn of the ₹435.25 mn** of borrowings, and covenants restrict capital-structure changes, promoter/KMP changes, and further borrowing without lender consent. Consents for the IPO have been obtained. Post-repayment this dependency shrinks but does not disappear.
- As of **31 July 2025** (the DRHP's cut-off date): fund-based outstanding ₹340.89 mn against ₹602.50 mn sanctioned; non-fund-based ₹82.22 mn (LC ₹81.39 mn) against ₹221.50 mn. **Ample undrawn headroom** — liquidity is not a concern. *Note this is a 13-month-old snapshot; the RHP will carry an updated figure.*

13. Disclosure quality — six specific findings

The audited financials are clean, tie out, and carry no qualification. These findings concern **presentation**, and they matter because they all point the same direction — flattering.

(1) The industry report's EBITDA for the Company is wrong (double-deducts other income).

	FY23	FY24	FY25
Company KPI EBITDA (p.124)	313.27	225.51	357.88
CARE report "Operating EBITDA" (p.170–171)	277.19	190.86	304.61
Difference	36.08	34.65	53.27
Other income	36.08	34.65	53.25

The difference equals other income **exactly, in all three years.** The Company's definition already deducts other income (PBT + finance + D&A - other income = 357.88). The CARE table deducts it a second time. Proof it is an error: **CARE's own EBIT line (₹256.79 mn) is consistent with the Company's EBITDA of ₹357.88 mn, not with CARE's ₹304.61 mn** (304.61 - 101.07 = 203.54 != 256.79). So the same document reports EBITDA margins of both **22.18% and 18.88%** for FY25. Investors reading the industry section understate profitability by 330–460 bps.

(2) Top-5 customer concentration compared against a top-10 number. Page 189 claims top-5 fell from 53.56% (FY23) to 26.00% (FY25). 53.56% is top-*ten*; actual FY23 top-5 = **39.58%**. Overstates the de-risking by ~2x.

(3) WACA appears not to be adjusted for the sub-division and bonus issue. The DRHP discloses WACA of **₹16.42** from five secondary transactions. Reproducing it: $(2,000 \times ₹3,000 + 2,850,000 \times ₹14.33) \div 2,852,000 = ₹16.42$ — an exact match. But the four December-2024 transfers of 500 shares each were of **₹10 face value shares, before** the 6 Feb 2025 sub-division (₹10 → ₹5, ×2) and the 8 Feb 2025 bonus (×112). Each of those shares became **224 current shares**, so ₹3,000 becomes **₹13.39** per current share, and the count becomes 448,000, not 2,000. Properly adjusted: **WACA ~ ₹14.20**. The disclosed figure appears **overstated by ~15.6%**. Since the RHP must express floor and cap price as a multiple of WACA, an inflated WACA makes the offer price look like a *lower* multiple of promoter cost. At ₹53, the multiple is 3.23x on the disclosed WACA versus **3.73x on the adjusted figure.**

(4) Capital expenditure stated two ways. MD&A (p.320) states FY25/24/23 capex of ₹301.77 / ₹359.95 / ₹166.81 mn; the table immediately below shows ₹197.73 / ₹296.47 / ₹79.59 mn; the cash flow shows payments of ₹154.11 / ₹286.39 / ₹135.42 mn. Reconcilable (CWIP and capital advances), but three different numbers in adjacent paragraphs with no bridge.

(5) Aggregate capacity utilisation does not reconcile to the unit-level table (Section 8) — reported utilisation is 3.6 pp (FY25) and 5.7 pp (FY24) above the year-end-capacity computation, with no averaging methodology disclosed.

(6) A 14.2% cumulative change described as a "CAGR of 14%" (Hy-Tech-USA-sourced revenue, ₹279.85 → ₹319.59 mn over two years; true CAGR 6.9%).

Also noted: Pithampur-I capacity increase printed as "150,00%"; a garbled OCI line item in the P&L; "FINANCIAL INTEBTEDNESS" heading; "page 117117"; and a claim that the domestic network covered "three states" (p.121) versus "four states" (p.182).

Conclusion: no evidence of accounting manipulation — the audited statements are internally consistent and I could re-derive every subtotal. But **the narrative and marketing sections of this document are not carefully prepared, and each identified error runs in the issuer's favour.** For a first-time issuer with a sole small BRLM, apply a governance discount and verify any promotional statistic against the financial statements.

14. Valuation

14.1 Where the price band came from — a structural constraint, not just demand

This is a non-obvious point worth understanding. **The DRHP's offer structure was mathematically incapable of supporting a high price.**

Under SCRR Rule 19(2)(b), an issuer with post-issue capital below ₹1,600 cr must offer **at least 25% to the public**. With the DRHP structure (₹700 mn fresh + 11,933,120 OFS shares) on a pre-issue base of 83,531,840 shares:

Price (₹)	Fresh shares	Post-issue shares	Public %
50	14,000,000	97,531,840	26.6%
58.66	11,933,120	95,465,014	25.00%
70	10,000,000	93,531,840	23.4% — breach
100	7,000,000	90,531,840	20.9% — breach

Above ₹58.66 the DRHP structure breached the 25% minimum public shareholding. The RHP resolved it exactly as the arithmetic requires — **cutting the fresh issue to ₹600 mn and raising the OFS to ~14.29 mn shares**, landing the band at ₹50–53 for 27.0% public shareholding.

Implication for clients: the ₹53 price is not primarily a statement that the promoters and BRLM believed the business was worth only ₹503 cr. It is the price the chosen offer size permitted. That is precisely why the issue looks cheap against peers and why the GMP is 83% — the *structure*, not the *valuation judgement*, set the price. It also means the apparent "discount to peers" should not be read as a considered fairness signal.

14.2 Valuation at the price band

FY26: revenue ₹1,894.0 mn, PAT ₹225.9 mn, estimated EBITDA ~₹420 mn. Post-issue net debt ~₹80 mn.

Price (₹)	Post-issue shares (mn)	Market cap (₹cr)	FY26 EPS (₹)	P/E FY26	P/E FY25	P/B	EV/EBITDA
50 (floor)	95.53	478	2.36	21.1x	24.3x	2.66x	11.6x
53 (cap — issue price)	94.85	503	2.38	22.3x	25.6x	2.80x	12.2x
75	91.53	686	2.47	30.4x	35.0x	3.82x	16.5x
97 (GMP-implied)	89.72	870	2.52	38.5x	44.4x	4.84x	20.9x
120	88.53	1,062	2.55	47.0x	54.2x	5.91x	25.5x

My 22.3x P/E and 12.2x EV/EBITDA at ₹53 independently reproduce the 22.25x and 12.15x published by Anand Rathi — a useful cross-check that my FY26 EBITDA estimate and share count are right.

14.3 Fair value from capacity absorption

Post-expansion capacity ~771 lakh pieces. At FY25 realisation of ₹53.90/piece, grossed up for scrap and incentives, and holding EBITDA margin at 22%:

Utilisation	Volume (lakh pc)	Revenue (₹mn)	vs FY26	EBITDA (₹mn)	@10x	@12x	@15x
60%	463	2,592	+36.8%	570	₹59.3	₹71.3	₹89.3
65%	501	2,808	+48.3%	618	₹64.3	₹77.3	₹96.8
70%	540	3,024	+59.7%	665	₹69.3	₹83.3	₹104.4
75%	578	3,240	+71.1%	713	₹74.3	₹89.3	₹111.9

(₹/share on 94.85 mn shares, net debt ₹80 mn.)

How to read this table — it is the core of my view. The right-hand columns are *not* one-year targets; reaching 65–70% utilisation on the expanded base needs revenue up **48–60% from FY26**, which at the industry's 10.4% CAGR is a **3–5 year journey**.

- At the **issue price of ₹53**, you are paying below the 60%-utilisation / 12x value of ₹71. **You are not paying for the expansion at all.** That is the source of the upside.
- At the **GMP-implied ₹97**, you are paying above the **75%-utilisation / 12x value of ₹89**, and are relying on a 15x

multiple *plus* full absorption. **The entire multi-year execution is pre-paid.**

A reasonable 3-year fair value, applying a 12x EV/EBITDA multiple (justified by 22% margins and 20%+ ROE, discounted for the related-party channel, cyclicity and disclosure quality) to a 65% utilisation outcome, is **₹75–85 per share**.

14.4 Peer context and market signals

At ₹53, Hy-Tech's 22.3x FY26 P/E sits at a ~66% discount to the 65.83x "peer average" disclosed in the offer document — but **those peer multiples are dated 29 August 2025 and are now a year stale**, and only Aeroflex is a genuine comparable. Against the *unlisted* fittings peers in the CARE report (Mercury Fittings 13.3% FY24 EBITDA margin, Micron Specma 6.9%), Hy-Tech's ~22% margin is the standout, and that comparison is the more meaningful one.

Market signals as at the final day (~10:00, 27 Aug 2026):

Overall subscription	~55.7x–82.7x (intra-day, sources differ)
NII	~95x
Retail	~70x
QIB (ex-anchor)	~0.84x (weak)
Anchor book	₹40.72 cr — 76.83 lakh shares at ₹53 to 8 investors
GMP	₹44 -> implied listing ~₹97 (~83%)

The composition matters more than the headline. A ~55–83x book built on ~95x NII and ~70x retail against a QIB ex-anchor book still around 1x is **momentum demand, not institutional conviction**. QIBs commonly bid on the final afternoon, so this may close higher — but as it stands, the institutional cohort with full access to management has taken ₹40.72 cr via the anchor and shown limited appetite beyond it. Retail-and-HNI-driven books of this shape are associated with strong listing pops **and weak post-listing price retention**.

Retail allotment probability at ~70x on a ~31,673-lot retail quota is roughly 1.4% per application. Plan for not receiving an allotment.

15. Risk register

Structural / high severity

- Promoter-owned US channel — 22.9% of revenue (FY25).** 100% of US revenue flows through or is sourced by Hy-Tech USA Inc.; 100% of sales commission is paid to it. Value split outside the listed entity; permanent related-party dependency.
- Flat EBIT and falling ROIC on rising capital.** FY23->FY25 EBIT +1.9% on +21% revenue; ROIC 23.2% -> 15.8%; gross block turnover -35%. The IPO adds more capital to this base.
- ~60% capacity addition against 63–70% current utilisation.** Absorption is a 3–5 year task on market growth alone.
- No long-term customer contracts.** All business purchase-order based; top-10 = 42% of revenue.
- Cyclical, correlated end-markets.** Construction + farming + automotive = 52.3% of revenue; no counter-cyclical segment.
- Plating plant *Consent to Operate* not yet applied for.** Regulatory single point of failure sitting downstream of ~65% of the capex.
- US tariff exposure not addressed anywhere in the DRHP.** Section 232 metals tariffs and a standing CVD order on forged steel fittings from India post-date the document.

Financial / moderate severity

- Cash conversion collapse:** CFO/EBITDA 99% -> 47.5%; 3-year FCF/PAT of 18.5%.
- Working capital intensity rising:** core trade WC 34.6% of revenue; CCC 12 -> 65 days; payables de-stretched permanently.
- ~₹6 mn p.a. negative carry** on ₹172 mn of deposits versus 11.4% debt; reported current ratio of 2.21x becomes 1.83x excluding parked deposits.
- FY25 earnings flattered ~10%** by a ₹26.88 mn non-recurring asset-disposal gain (13.7% of PAT).
- No pricing power** — FY24 showed cost pass-through failure destroying 40% of EBIT on flat volumes.
- Unhedged net USD long ~₹85 mn** despite a ₹100 mn forward facility sitting unused.

14. **Steel input, no purchase agreements** — no contractual price protection.
15. **Promoter personal guarantees** secure ₹395 mn of debt; restrictive covenants on capital structure and management changes.

Governance / disclosure

16. **Six identified disclosure errors, all flattering** (Section 13) — including a misstated WACA and an erroneous EBITDA table.
17. **Product mix revenue undisclosed**; end-market undisclosed for 39.8% of revenue (only 60.2% attributable); 4 of top-10 customers unnamed; **OEM-vs-distributor split within "direct sales" never given**.
18. **Sole BRLM** (New Berry Capitals) — limited distribution and price-discovery depth.
19. **~3% dividend payout**; no income expectation.
20. **Four of six plants in Maharashtra** (77.3% of revenue); domestic revenue 52.3% West-weighted.

Mitigants worth weighing

Clean audit, no qualifications or frauds since incorporation · negligible contingent liabilities (₹nil disputed GST at FY25) · **best EBITDA margin and ROE in the disclosed peer set** · 95.2% repeat revenue, 128 repeat customers · genuine backward integration (forging -> machining -> plating) · IATF 16949 at three plants · **39% margin of safety to operating break-even** · net debt/EBITDA 0.72x falling to ~0.2x post-issue · supplier concentration cut (top-5 55.3% -> 38.5%) · customer concentration cut (top-10 53.6% -> 42.0%) · receivables ageing materially improved with conservative ECL · debottlenecking-led (not greenfield) capex at running, licensed units · **FY26 delivered +17.4% revenue, +15.1% PAT, ~70% utilisation and the first real export growth in four years.**

16. What I would ask management

1. Revenue and gross margin split by **standard versus customised** fittings, and by the four product families.
2. **OEM versus distributor/reseller revenue within the 88.6% "direct sales."** Are Tompkins and Fittings Unlimited OEMs or wholesalers?
3. **Hy-Tech USA Inc.:** its revenue, gross margin and EBIT on Hy-Tech products; the commission rate basis; any intention to acquire or internalise it; who bears US tariffs.
4. The **38-percentage-point end-market gap** — what sectors are the ₹457.57 mn of unattributed *direct* revenue in?
5. **Shirwal:** why did capacity fall 213 -> 144 lakh pieces, and is the proposed +120 genuinely incremental or a re-installation?
6. Why hold **₹172 mn of 7.7% deposits** against 11.4% debt when only ₹0.16 mn is lien-marked?
7. The **utilisation denominator** — is a weighted-average capacity used, and if so why does KPI note (o) say otherwise?
8. **Reconcile the CARE EBITDA table** with the KPI EBITDA table, and confirm the WACA computation is adjusted for the sub-division and bonus.
9. Timeline and confidence on the **plating plant Consent to Operate**, and the throughput consequence of delay.
10. Guidance on the **utilisation ramp** for the new capacity, and the expected quarter in which **job-work charges** begin falling as a percentage of revenue.

17. Verdict

Decision	Call	Rationale
Subscribe at ₹50-53	YES	22.3x FY26 / 12.2x EV/EBITDA for a 22%-EBITDA-margin, 21%-ROE, near-debt-free business is below the 60%-utilisation fair value of ₹71. The offer size — not a valuation judgement — set this price. Allotment odds ~1.4%.
Buy on listing at ~₹97	NO	38.5x FY26 / 20.9x EV/EBITDA exceeds my 75%-utilisation / 12x value of ₹89. A 3-5 year execution is fully pre-paid, against a QIB ex-anchor book of ~0.84x.
Accumulate below ₹70	Selectively	3-year fair value ₹75-85 at 65% utilisation and 12x. Size small; this is a cyclical micro-cap.

Decision	Call	Rationale
Hold if allotted	Partially	Book at least half on listing above ₹85. Retain the balance only with the Section 1 monitorables tracking favourably.
Long-term core holding	Not yet	Requires resolution of the Hy-Tech USA channel and two quarters of post-expansion utilisation evidence.

The one-sentence summary: *A well-run, genuinely profitable, best-in-class-margin niche manufacturer is being offered at a price its own offer structure forced down — attractive at ₹53, fully valued by ₹85, and unattractive at the ₹97 the grey market is quoting, with a promoter-owned US channel worth ~23% of revenue and two years of flat EBIT on 50% more capital as the reasons to demand a discount rather than pay a premium.*

18. Basis of preparation and limitations

Primary source: DRHP dated 4 September 2025, 430 pages, extracted in full. The PDF carried no owner-permission text layer usable by standard tooling, so I wrote a purpose-built PDF parser (object/xref/object-stream layer, Flate/LZW/ASCII85/RunLength/predictor filters, Type0/CID and simple-font handling, ToUnicode CMap decoding, content-stream interpretation with text-matrix positioning and layout reconstruction) to recover all 430 pages of text and tables. Extraction accuracy was verified by re-adding the financial statements — e.g. FY25 assets ₹738.83 + ₹967.64 = ₹1,706.47 = equity ₹1,012.51 + ₹255.54 + ₹438.42. Every ratio in this report was recomputed from source figures rather than taken from the document; where my figure differs from the DRHP's, both are shown.

Limitations clients must weigh:

- FY26 figures (revenue ₹1,894.0 mn, total income ₹1,934.4 mn, PAT ₹225.9 mn, capacity 483 lakh pieces, 170 direct customers, exports 29.37%) are taken from public reporting of the RHP, not from an audited statement I have read.** FY26 EBITDA of ~₹420 mn is my estimate, triangulated three ways and cross-validated against a published broker EV/EBITDA. All FY23–FY25 figures are from the audited restated statements.
- Every absolute market-size chart in the Industry Overview is a raster image** with no text layer; no OCR was available. Growth rates are text-sourced and verified; **absolute market size and market share could not be extracted.**
- I have not read the RHP itself** — only the DRHP plus public reporting on the RHP. Objects, capacity, customer counts and share counts changed between the two; where I know of a change I have flagged it.
- Subscription, GMP and anchor data are intra-day as at ~10:00 on 27 August 2026 and **will have moved by the close.** QIB participation in particular typically lands on the final afternoon.
- Tariff commentary is sourced from public reporting and is inherently fast-moving; **the applicable duty for the Company's specific HS codes must be independently confirmed.**
- Segmental, product-mix and OEM-share analysis is constrained by the disclosure gaps identified in Sections 6 and 7. Where I have inferred, I have labelled the inference and my confidence.

Disclaimer: This is independent analysis of a public offer document prepared for professional discussion. It is **not personalised investment advice** and takes no account of any individual's financial circumstances, objectives or risk tolerance. Equity investments, and IPOs in particular, can result in permanent loss of capital. Investors should read the RHP in full — especially "Risk Factors" — and consult a SEBI-registered investment adviser before acting. The author holds no position in the securities discussed.